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nancial liquidity, debt repayments, meeting fixed expenses like wages and salaries, statutory dues, etc. In addition, raw material prices also went up manifold, which led to an increase in the cost of production, thereby impacting cash flows,” says Mohit Jain, Chair, MSME Committee, PHD Chamber of Commerce and Industry (PHDCCI).

The government and policymakers have time and again reiterated the need to increase MSMEs’ contribution in almost every sphere ranging from exports to GDP. “The vision of the government is commendable, but

there are some basic problems plaguing the whole MSME ecosystem. Until these problems are addressed, MSMEs will not be able to stride on the path of exponential growth,” says Mishra of Microtech Industries. The list of challenges is long—from expensive finance to inadequate infrastructure to poor market linkages to lack of information about appropriate technology, lack of skilled manpower, and inability to procure raw material at competitive prices, among others. “These hindrances have constrained the growth of MSMEs and more particularly the creation of new entre-

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